

Pivot Tables in Excel – Complete Beginner Notes (Clear Step-by-Step)

1. What is a Pivot Table?

A **Pivot Table** is an Excel feature used to **summarize, organize, and analyze large amounts of data** without writing formulas.

Think of it like this:

- Your Excel sheet has **10,000 rows** of data.
- Your manager asks:
 - "What is the total sales for each region?"
 - "How many employees are in each department?"
 - "What is the average salary?"

Instead of using many formulas, you create a **Pivot Table**, and Excel gives the answer in seconds.

Definition (Interview Answer)

A Pivot Table is a data summarization tool in Excel that helps users quickly calculate totals, averages, counts, maximums, minimums, and create reports from large datasets.

2. Why is it called a Pivot Table?

The word **Pivot** means **to rotate or rearrange**.

You can move fields between **Rows, Columns, Values**, and **Filters** to view the same data in different ways.

Example:

Original data:

Employee	Department	City	Salary
Rahul	IT	Bangalore	50000
Anita	HR	Hyderabad	45000
John	IT	Bangalore	60000

You can view it as:

- Salary by Department
- Salary by City
- Employee Count by Department
- Employee Count by City

You are simply **changing the view** of the same data.

3. Why Do We Use Pivot Tables?

Imagine this dataset:

Order ID	Customer	Product	City	Sales
101	A	Laptop	Bangalore	50000
102	B	Mouse	Hyderabad	1000
103	C	Laptop	Bangalore	55000
104	D	Keyboard	Pune	2500

Your manager asks:

- Total Sales?
- Sales by City?
- Sales by Product?
- Highest Selling Product?
- Average Sales?

Without Pivot Table:

- Many formulas

With Pivot Table:

- Drag and drop fields

Done!

4. Advantages of Pivot Tables

- No formulas required
- Very fast
- Easy to understand
- Handles thousands of rows
- Dynamic reports
- Interactive analysis
- Easy to create dashboards

5. Requirements Before Creating a Pivot Table

Your data should have:

✅ Column headers

| Employee | Department | Salary |

❌ No blank header names

Wrong:

| Employee | | Salary |

Every row should contain one complete record.

Correct:

Employee Department Salary

Rahul IT 50000

Anita HR 45000

Avoid blank rows inside the data.

6. Example Dataset

Create this table in Excel:

Employee Department City Salary

Rahul IT Bangalore 50000

Anita HR Hyderabad 45000

John IT Bangalore 60000

Priya Sales Pune 55000

Neha HR Bangalore 48000

Arjun IT Hyderabad 65000

We will use this data for every example.

7. How to Create a Pivot Table (Step by Step)

Step 1

Click **any cell** inside your data.

You do **not** need to select the entire table.

Step 2

Go to the **Insert** tab.

Click **PivotTable**.

Step 3

A dialog box appears.

Excel automatically selects the data range.

Example:

A1:D7

Choose:

☒ **New Worksheet** (recommended)

Click **OK**.

Step 4

A new worksheet opens.

On the left, you'll see an empty Pivot Table.

On the right, you'll see the **PivotTable Fields** pane.

It contains:

- Employee
- Department
- City
- Salary

These are your column names from the source data.

8. Understanding the Four Pivot Table Areas

The bottom of the PivotTable Fields pane has four boxes.

A. Filters

Filters the **entire Pivot Table**.

Example:

City = Bangalore

Only Bangalore data is shown.

B. Columns

Displays values **across the top**.

Example:

Department Bangalore Hyderabad

IT	110000	65000
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Cities become column headings.

C. Rows

Displays values **vertically**.

Example:

Department

HR

IT

Sales

Departments become row labels.

D. Values

Performs calculations.

Examples:

- Sum
- Count
- Average
- Maximum
- Minimum